REPORT ON TITLE AND SEARCHES

Property: Calderdale House, 14–18 Sefton Street, Manchester M3 4AP

Prepared for: Ellwood Estates Partners Limited

Prepared by: Whitfield Carter LLP (Sarah Whitfield / Elena Marchetti) · Ref SW/EM/Calderdale · 24 February 2025

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1. Executive summary

We have investigated the freehold title to Calderdale House and reviewed the results of the pre-contract searches and the Seller's replies to enquiries. Subject to the points flagged in section 7 below, the title is good and marketable and the Property may safely be acquired as a tenanted investment at the agreed price of £8,450,000. There are no title defects that, in our view, should prevent the acquisition, and no search result that materially affects value. The principal points requiring your attention are the lift-overhaul liability, the shared drainage easement and the VAT/TOGC mechanics, each of which is addressed below.

2. The property and title

The Property is registered at HM Land Registry with title absolute under title number GM428193. The registered proprietor is Westmere Property Trust Limited, registered as proprietor on 17 October 2017. The class of title is absolute freehold, which is the best class available.

Register	Key entries
Property register	Freehold; the land edged red on the title plan; the benefit of the deed of easement dated 3 May 1999 (rights of support and passage of services).
Proprietorship register	Title absolute; proprietor Westmere Property Trust Limited (registered 17.10.2017); no restrictions affecting disposal save a standard Form A restriction (not applicable — sole proprietor).
Charges register	A legal charge dated 17 October 2017 in favour of Pennine Business Bank plc (to be discharged on completion — undertaking required); the 1999 easement; the three occupational leases noted.

The existing charge in favour of Pennine Business Bank plc must be discharged on or before completion. We will require the Seller's solicitors' undertaking to discharge it and to provide the DS1/e-DS1 in due course.

3. The occupational leases

The Property is let in three parts. We have reviewed each lease and summarise the income below. Aggregate passing rent is £601,500 per annum, which against the purchase price of £8,450,000 reflects a net initial yield of approximately 6.9% (after allowing for purchaser's costs).

Tenant	Floor	Term / expiry	Rent p.a.	Comments
Harlow Reed Consulting LLP	2nd & 3rd	10 yrs from 25.03.2019 (exp. 24.03.2029)	£286,000	Rent review 25.03.2024 settled at £286,000; FRI lease; no break.
Northbank Insurance Services Ltd	1st	10 yrs from 29.09.2020 (exp. 28.09.2030)	£198,500	Upward-only review 29.09.2025 outstanding; tenant break 29.09.2025 on 6 months' notice (not yet exercised).
Castleford Media Limited	Ground & part LG	5 yrs from 24.06.2022 (exp. 23.06.2027)	£117,000	Rent deposit £29,250 held; FRI by way of service charge.

Action point: the Northbank tenant break on 29 September 2025 is the principal income risk. You should factor the possibility of that floor falling vacant into your business plan; the passing rent on that floor is £198,500 (33% of total income).

4. Searches

We have obtained and reviewed the following searches, the results of which are summarised in our separate Report on Searches and in section 5:

- Local authority search (Manchester City Council) — LLC1 and CON29.
- Drainage and water search (United Utilities).
- Environmental desktop search (Groundsure).
- Chancel repair screening.
- HM Land Registry official copies and title plan; OS1 priority search to be carried out before completion.

5. Search results

Search	Result	Comment
Local (CON29)	Clear	No outstanding enforcement or planning notices; building registered as offices (Use Class E). No road or CPO proposals affecting the Property.
Drainage & water	Note	Foul and surface water connected to public sewers. Surface water from the LG car park discharges via a shared private connection serving 12 Sefton Street (see 1999 easement).
Environmental	Passed	No significant contamination risk identified; historic use consistent with commercial. Flood risk low.
Chancel	Clear	No chancel repair liability identified.

6. VAT and SDLT

The Seller has opted to tax the Property (election effective 17 October 2017). The sale is structured as a transfer of a going concern (TOGC) so that no VAT is chargeable on the price, provided that (a) you opt to tax the Property and notify HMRC before completion, and (b) you give the article 5(2A) notification. We have prepared the option to tax (VAT1614A) and the TOGC notification for signature. SDLT will be payable on the consideration of £8,450,000 at the non-residential rates, giving SDLT of £412,000, which is payable within 14 days of completion.

7. Points for your attention

1. Discharge of the Pennine Business Bank plc charge — we require the Seller's solicitors' undertaking on completion.
2. Northbank break option (29.09.2025) — income risk on the 1st floor; consider in your model and any rent-free reletting assumptions.
3. Lift overhaul — estimated £24,000 in autumn 2025, recoverable through service charge but cashflow-relevant.
4. Shared surface-water drainage with 12 Sefton Street — long-standing arrangement under the 1999 easement; no action required but noted.
5. VAT/TOGC conditions — your option to tax and HMRC notification must be completed before completion; we will manage this.

8. Recommendation

Subject to the points above (all of which are manageable), we are satisfied that the title is good and marketable and we are happy to recommend that you proceed to exchange and completion at the agreed price of £8,450,000. Please confirm your instructions to exchange once you are satisfied with the building survey and your funding.